1. He will be liable for damages or any loss caused to the company due to his negligence, fraud or changes in terms of contract.
2. If the Secretary acts beyond his power he is liable.

10.12 Restrictions of Company Secretary

1. Unless authorized by directors of the Company he cannot enter into contract on behalf of the company.
2. He cannot borrow money on behalf of the Company.
3. He cannot acknowledge a debt.
4. He cannot allot or transfer shares without authority of Board of Directors.

10.13 Dismissal of Company Secretary

A Company Secretary has a great role in the formation of the company and he may be dismissed due to the following reasons.

1. Not satisfied with performance: Company Secretary is appointed by the Board of Director, So he is considered as employee of the company. If the directors are not satisfied with the performance they can dismiss with prior written notice.
2. Dismissal due to irregularities: A company Secretary may be fired any time without any prior written notice if he is proved.
   a. as fraud
   b. neglect his duties intentionally
   c. have permanent inability etc.
3. Due to lapse of time: Company Secretary is appointed for a fixed period. If Board of Directors does not renew the Contract then his contract comes to an end.
4. Winding up of the Company: Winding up of a company would result in the termination of service of the Secretary like all other employees.

Points to Remember

- The word 'secretary' has been derived from ancient Latin word 'Secretarius' which means confidential writer or officer.
- The secretary is an important officer of the company who is appointed to perform the ministerial or administrative duties.
- Company secretary means a company secretary within the meaning of clause (c) of sub-section (1) of section 2 of the company secretaries Act, 1980, who is appointed by a company to perform the functions of a company secretary under this Act".
- A person who is employed to take care of records, letters and routine work for an another person.
- Nature of work carried out by Private Secretary.
- Types of Secretary.
- Company Secretary and his qualification
- Duties of Company Secretary.
  a. Statutory duties
  b. General duties
- Rights enjoyed by Company Secretary.
- Liabilities of Company Secretary.
- Restrictions of Company Secretary.
- Dismissal of Company Secretary.

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